FMGT 3130 – week 1

Q1) Suppose the following items were taken from the balance sheet of Nike, Inc. (All dollars are in millions.)

Cash	$ 2,291.1
Accounts receivable	$ 2,883.9
Common stock	$ 2,874.2
Notes payable	$ 342.9
Buildings	$ 3,759.9
Mortgage payable	$ 1,311.5
Inventory	$ 2,357.0
Income taxes payable	$ 86.3
Equipment	$ 1,957.7
Retained earnings	$ 5,818.9
Accounts payable	$ 2,815.8

a) Classify each of these items as an asset, liability, or stockholders' equity and determine the total dollar amount for each classification.
b) Determine Nike's accounting equation by calculating the value of total assets, total liabilities, and total stockholders' equity.
c) To what extent does Nike rely on debt versus equity financing?

Assets (in millions)	
Cash	$2,291.1
Accounts receivable	$2,883.9
Inventory	$2,357.0
Equipment	$1,957.7
Buildings	$3,759.9
Total Assets	$13,249.6

Liabilities	
Notes payable	$342.9
Accounts payable	$2,815.8
Mortgage payable	$1,311.5
Income taxes payable	$86.3
Total liabilities	$4,556.5
Stockholders' equity	
Common stock	$2,874.2
Retained earnings	$5,818.9
Total stockholders' equity	$8,693.1

$13,249.60 = $4,556.50 + $8,693.10

Total liabilities	$4,556.50
Total assets	$13,249.60
Assets financed by debt	34%
Total equity	$8,693.10
Total assets	$13,249.60
Assets financed by equity	66%

Q2) On June 1, 2027, Elite Service Co. was started with an initial investment of $22,100 in cash. Here are the assets, liabilities, and common stock of the company at June 30, 2027, and the revenues and expenses for the month of June, its first month of operations:

Cash	$ 4,600
Accounts receivable	$ 4,000
Service revenue	$ 7,500
Supplies	$ 2,400
Advertising expense	$ 400
Equipment	$ 26,000
Common Stock	$ 22,100
Notes payable	$12,000
Accounts payable	$ 500
Supplies expense	$ 1,000
Maintenance and repairs expense	$ 600
Utilities expense	$ 300
Salaries and wages expense	$ 1,400

During June, the company issued no additional stock but paid dividends of $ 1,400.

a) Prepare an income statement and retained earnings statement for the month of June and a balance sheet at June 30, 2027.
b) Briefly discuss whether the company's first month of operations was a success.
c) Discuss the company's decision to distribute a dividend.

ELITE SERVICE CO.
Income Statement
For the Month Ended June 30, 2027

Revenues		
Service revenue		$7,500
Expenses		
Salaries and wages expense	$1,400	
Supplies expense	1,000	
Maintenance and repairs expense	600	
Advertising expense	400	
Utilities expense	300	
Total expenses		3,700
Net income		$3,800

ELITE SERVICE CO.
Retained Earnings Statement
For the Month Ended June 30, 2027

Retained earnings, June 1	$-
Add: Net income	3,800
	3,800
Less: Dividends	1,400
Retained earnings, June 30	$2,400

ELITE SERVICE CO.
Balance Sheet
June 30, 2027
Assets

Cash	$4,600
Accounts receivable	4,000
Supplies	2,400
Equipment	26,000
Total assets	$37,000

Liabilities and Stockholders' Equity

Liabilities		
Notes payable	$12,000	
Accounts payable	500	

Total liabilities		12,500
Stockholders' equity		
Common stock	22,100	
Retained earnings	2,400	24,500
Total liabilities and stockholders' equity		$37,000

Elite had a very successful first month, earning $3,800 or 51% of service revenues ($3,800 ÷ $7,500). Its net income represents a 17% return on the initial investment ($3,800 ÷ $22,100).

Distributing a dividend after only one month of operations is probably unusual. Most new businesses choose to build up a cash balance to provide for future operating and investing activities or pay down debt. Elite distributed 37% ($1,400 ÷ $3,800) of its first month's income, but it had adequate cash to do so and still showed a significant increase in retained earnings.

Q3) Henson Company began the year with retained earnings of $380,000. During the year, the company recorded revenues of $500,000, expenses of $380,000, and paid dividends of $40,000. What was Henson's retained earnings at the end of the year?

$380,000 + ($500,000 - $380,000) - $40,000 = $460,000

Q4) Finney Company began the year by issuing $80,000 of common stock for cash. The company recorded revenues of $740,000, expenses of $640,000, and paid dividends of $40,000. What was Finney's net income for the year?

$740,000 - $640,000 = $100,000

Q5) Elston Company compiled the following financial information as of December 31, 2027:

Service revenue	$ 840,000
Common stock	$ 180,000
Equipment	$ 240,000

Operating expenses	$ 750,000
Cash	$ 210,000
Dividends	$ 60,000
Supplies	$ 30,000
Accounts payable	$ 120,000
Accounts receivable	$ 300,000
Retained earnings, 1/1/27	$ 450,000

What is Elston's stockholders' equity on December 31, 2027?

$180,000 + [$450,000 + ($840,000 - $750,000) - $60,000] = $660,000

Q6) This information is for Campo Corporation for the year ended December 31, 2027.

Cash received from lenders	$ 20,000
Cash received from customers	$ 65,000
Cash paid for new equipment	$ 30,000
Cash dividends paid	$ 9,000
Cash paid to suppliers	$ 28,000
Cash balance 1/1/27	$ 12,000

Prepare the 2027 statement of cash flows for Campo Corporation.

CAMPO CORPORATION
Statement of Cash Flows
For the Year Ended December 31, 2027

Cash flows from operating activities		
Cash received from customers	$65,000	
Cash paid to suppliers	(28,000)	
Net cash provided by operating activities		$37,000
Cash flows from investing activities		
Cash paid for new equipment	(30,000)	
Net cash used by investing activities		(30,000)
Cash flows from financing activities		
Cash received from lenders	20,000	
Cash dividends paid	(9,000)	
Net cash provided by financing activities		11,000
Net increase in cash (Cash from oper. act. -		
Cash from inv. act. + Cash from fin.act.)		18,000
Cash at beginning of period		12,000
Cash at end of period		$30,000